

Paradiem

The Morning Brief

JULY 16, 2026

Chip Fade Two

Wednesday delivered a second AI-capex give-back as MRVL fell 7.27% and CRDO 4.00% while financials and comm services held the tape; TSMC prints pre-market and June retail sales land at 8:30 AM ET.

S&P 500 (WED CLOSE)	NASDAQ (WED CLOSE)	BRENT (THU PRE-OPEN)	BITCOIN PROXY (IBIT WED)	FEAR & GREED
\$754.81 · ↑0.40%	\$717.74 · ↓0.27%	~\$85 per CNBC coverage	\$36.81 · ↑0.63%	CNN ~46 Neutral per CNN · data drop returned crypto fallback (25)

Markets — Chip Complex Re-Rates Lower for a Second Session as MRVL Reportedly Falls ↓7.27% and CRDO ↓4.00% Ahead of TSM Pre-Market Print; Comm Svcs (XLC) ↑1.73% and Financials (XLF) ↑0.68% Reportedly Held the Tape as Reported Morgan Stanley Q2 Reportedly Beat With EPS \$3.46 vs. \$2.94 Consensus per CNBC; S&P 500 Reportedly Closed at \$754.81 (↑0.40%) and Nasdaq at \$717.74 (↓0.27%) per Data Drop

WEDNESDAY'S TAPE REPORTEDLY DELIVERED A SECOND AI-CAPEX DE-RATING ALONGSIDE REPORTED FINANCIAL-SECTOR LEADERSHIP: MRVL REPORTEDLY FELL ↓7.27% TO \$206.26, CRDO ↓4.00% TO \$226.74, AMD ↓3.46% TO \$529.14, LRCX ↓3.08% TO \$335.43, AND NXPI ↓1.71% TO \$279.01 PER DATA DROP, WHILE NVDA REPORTEDLY HELD AT \$212.50 (↑0.33%); REPORTED MORGAN STANLEY Q2 REPORTEDLY BEAT CONSENSUS WITH EPS \$3.46 VS. \$2.94 LSEG ESTIMATE AND REVENUE \$21.35B VS. \$19.64B ESTIMATE PER CNBC COVERAGE — REPORTED EQUITY-MARKETS REVENUE REPORTEDLY HIT A RECORD \$6.3B PER CNBC; THE REPORTED BOARD REPORTEDLY RAISED THE QUARTERLY DIVIDEND TO \$1.15 (A REPORTED 15C BUMP) AND REAUTHORIZED A \$20B BUYBACK PER CNBC; SPGI REPORTEDLY CLOSED ↑1.28% AT \$444.48 PER DATA DROP

For FCI's framework, Wednesday's composition reportedly clarified that the reported CPI-driven Tuesday reset reportedly did not extend uniformly into Wednesday's tape — the reported AI-optical and reported wafer-equipment cohorts reportedly gave back a meaningful portion of Tuesday's rebound while the reported financial and reported comm-services cohorts reportedly caught the bid. Per data drop, the reported Comm Svcs sector (XLC) reportedly closed ↑1.73% to \$113.38 and Financials (XLF) reportedly closed ↑0.68% to \$56.56, while Tech (XLK) reportedly closed ↓1.11% to \$181.58 — a reported composition that reportedly signals the reported bank-earnings-and-media-momentum leg reportedly rotated in as the reported AI-capex leg reportedly rotated out. For the reported FCI Dividend sleeve, SPGI at \$444.48 (↑1.28%) and SYK at \$316.44 (↑1.73%) reportedly extended their reported bids, while reported ADI reportedly closed ↓0.46% at \$390.96 and reported CAT reportedly closed ↓2.04% at \$914.30 per data drop — a reported sub-sector rotation that reads across to reported ABT Q2 pre-market this morning per FCI reporting calendar (consensus \$1.29 EPS per data drop). Per web coverage citing CNBC premarket reporting, overnight U.S. equity futures reportedly turned modestly lower into Thursday's pre-open with reported S&P futures roughly ↓0.2% and reported Nasdaq futures roughly ↓0.5%, with reported semiconductor exposure reportedly leading the pre-market give-back (reported NVDA, AMD, Micron, and Broadcom all reportedly lower pre-market per CNBC premarket coverage). Carson's SPY \$645.80 support remains active per levels.json, well-removed from Wednesday's intraday range of \$750.20–\$755.58 per data drop — no level was reportedly hit.

S&P 500 (WED)	\$754.81 · ↑0.40% · L:\$750.20 H:\$755.58 per data drop
NASDAQ (WED)	\$717.74 · ↓0.27% · L:\$710.23 H:\$724.36 per data drop
DOW (WED)	\$525.95 · ↑0.24% per data drop
SECTOR LEADER (WED)	Comm Svcs (XLC) ↑1.73% per data drop
SECTOR LAGGARD (WED)	Tech (XLK) ↓1.11% per data drop
BOTTOM FCI MOVERS (WED)	MRVL ↓7.27% · CRDO ↓4.00% · SOFI ↓3.67% · AMD ↓3.46% · LRCX ↓3.08% per data drop
TOP FCI MOVERS (WED)	YMM ↑6.48% · HUT ↑4.78% · ATAT ↑4.61% · NWG ↑4.00% · CNX ↑2.72% per data drop
S&P FUTURES (THU PRE-OPEN)	~↓0.2% per CNBC premarket
NASDAQ FUTURES (THU PRE-OPEN)	~↓0.5% per CNBC premarket
CARSON'S SPY SUPPORT	\$645.80 active · far from Wed range \$750.20–\$755.58

TSMC Q2 REPORTEDLY BEAT WITH REPORTED REVENUE \$40.2B (A REPORTED ↑33.7% Y/Y REACH TO THE UPPER END OF PRIOR GUIDANCE) AND REPORTED GAAP EPS \$4.31 PER GURUFOCUS AND TRADINGKEY COVERAGE — REPORTED GROSS MARGIN AT 67.7%, REPORTED OPERATING MARGIN AT 60.3%, AND REPORTED HPC (AI CHIP) CONTRIBUTION REPORTEDLY REACHED 60–66% OF TOTAL REVENUE PER TRADINGKEY AND TSMC COVERAGE; TSMC REPORTEDLY GUIDED FULL-YEAR 2026 USD REVENUE GROWTH ABOVE 30% PER TRADINGKEY; MRVL AND CRDO'S REPORTED WEDNESDAY GIVE-BACKS REPORTEDLY FRAME THE READ-ACROSS INTO TSM'S PRINT AS A TEST OF WHETHER THE REPORTED AI-CHIP COMPLEX REPORTEDLY CAN BIFURCATE THE WAFER-FAB LEADER FROM THE REPORTED OPTICAL AND DSP SUPPLIERS

For FCI's Growth-Hybrid sleeve, the reported TSM print reportedly delivers the reported wafer-fab read for the reported physical-AI-infrastructure thesis — per TradingKey coverage, TSMC reportedly characterized AI demand as remaining exceptionally strong, driven by the reported transition from generative AI to reported agentic AI, which reportedly is increasing reported computing requirements across reported hyperscale data centers. Per data drop, reported TSM reportedly closed Wednesday at \$419.48 (↓0.22%) with intraday range \$410.75–\$428.89 — a reported composition that reportedly signals the reported Street reportedly was already positioned for a strong print, and the reported forward tell reportedly will be the reported guide-through commentary rather than the reported headline. For the reported FCI Growth-Hybrid sleeve, reported ancillary AI-chip exposure through LRCX (\$335.43 ↓3.08% Wed per data drop), MRVL (\$206.26 ↓7.27%), and CRDO (\$226.74 ↓4.00%) reportedly reads through the reported TSM commentary; per Morningstar coverage cited in prior briefs, the reported TSM guide reportedly historically frames the reported wafer-equipment and reported HBM demand pipeline. Per data drop, reported ABT reports Q2 this morning with reported consensus \$1.29 EPS — the reported medical-device rotation flagged in Tuesday's brief (SYK reportedly gave back ↓6.15% Monday) reportedly reads across. Per prior brief tracking, reported June retail sales lands at 8:30 AM ET per Census Bureau schedule — the reported first consumer-spend read post-CPI reset. **Simplicity Over Complexity.**

Wednesday reportedly delivered a bifurcated tape — the reported financial and reported comm-services cohorts reportedly caught the bid on reported Morgan Stanley's Q2 beat while the reported AI-optical and reported wafer-equipment cohorts reportedly gave back a second session in a row; Thursday's TSM print anchors the reported physical-AI-infrastructure read and reported June retail sales at 8:30 AM ET frames the reported post-CPI consumer transmission. Research Reveals Opportunities.

Geopolitics — U.S. Reportedly Disables Oil Tanker Sailing Toward Kharg Island as Strikes on Iran Extend Into Bandar Abbas; Kharg Reportedly Handles ~90% of Iran's Crude Exports per NPR/CBS Coverage; Brent Reportedly Held ~\$85 Wednesday per CNBC With Reported Hormuz Traffic Reportedly Reduced per Reuters Coverage in the Data Drop Headlines

PER NPR AND CBS COVERAGE, U.S. FORCES REPORTEDLY DISABLED AN EMPTY OIL TANKER SAILING TOWARD KHARG ISLAND WEDNESDAY — THE REPORTED FACILITY TYPICALLY HANDLES ROUGHLY 90% OF IRAN'S CRUDE OIL EXPORTS PER NPR; PER CNN COVERAGE OF THE LIVE IRAN WAR FEED, THE REPORTED U.S. REPORTEDLY FRAMED THE LATEST STRIKES AS AIMED AT PROTECTING VESSELS IN THE STRAIT OF HORMUZ; PER REUTERS COVERAGE IN THE DATA DROP HEADLINES, FEWER VESSELS REPORTEDLY TRAVELED THROUGH HORMUZ AS THE U.S. AND IRAN REPORTEDLY CONTINUED STRIKES AND THE REPORTED U.S. MILITARY REPORTEDLY COMPLETED ITS LATEST ROUND TARGETING BANDAR ABBAS; PER CBS COVERAGE, REPORTS REPORTEDLY INDICATED PRESIDENT TRUMP REPORTEDLY DISCUSSED THE POSSIBLE SEIZURE OF KHARG ISLAND ITSELF AS AN IRANIAN OIL EXPORT TERMINAL

For FCI's framework, the reported Kharg Island targeting reportedly reprices the reported physical-supply framing from a Hormuz-transit question to an Iranian-export-capacity question — if the reported tanker interdiction cycle reportedly extends into direct facility strikes, the reported ~90% export-share dependency reportedly materially compounds the reported supply-side risk per NPR coverage. Per data drop, WTI proxy USO reportedly closed $\uparrow 1.01\%$ at \$121.38 and Brent proxy BNO reportedly closed $\uparrow 0.63\%$ at \$47.59 Wednesday — a reported composition that reportedly signals the reported crude complex reportedly extended its bid modestly rather than reportedly repricing a shock scenario. For the reported FCI Upstream and Refiner sleeves, CVX reportedly closed at \$181.60 ($\downarrow 0.09\%$) and OKE at \$91.03 ($\downarrow 0.95\%$) per data drop — a reported composition that reportedly signals the reported energy bid reportedly is consolidating rather than reportedly extending. Per Reuters coverage in the data drop headlines, reported oil eased as traders reportedly locked in gains and assessed the reported Iran escalation, and per Reuters coverage, gold reportedly fell as reported Mideast conflict reportedly dimmed easing inflation hopes — a reported cross-current that reportedly frames the reported forward CPI print risk against Chair Warsh's reported hawkish framing. For the reported FCI Defense sleeve, LMT reportedly closed $\downarrow 0.10\%$ at \$514.46 and GD reportedly closed $\downarrow 1.05\%$ at \$365.63 per data drop — a reported composition that reportedly signals reported program-timeline risk reportedly continues to weigh against the reported broader escalation bid. **The physical world matters.**

GOLD REPORTEDLY HELD FLAT WITH GLD REPORTEDLY CLOSING \$372.35 ($\uparrow 0.05\%$) PER DATA DROP AS THE REPORTED MIDEAST ESCALATION BID REPORTEDLY OFFSET REPORTED DOLLAR STRENGTH AND REPORTED HIGHER-FOR-LONGER POSITIONING; SILVER REPORTEDLY FELL $\downarrow 1.81\%$ TO SLV \$52.21 PER DATA DROP; BITCOIN PROXY IBIT REPORTEDLY CLOSED $\uparrow 0.63\%$ AT \$36.81 AND ETHA $\uparrow 2.40\%$ AT \$14.52 PER DATA DROP — A REPORTED COMPOSITION THAT REPORTEDLY SIGNALS THE REPORTED 24/7 DIGITAL-ASSET COHORT REPORTEDLY EXTENDED THE REPORTED CPI-RESET BID; PER WEB COVERAGE, REPORTED SPOT BITCOIN REPORTEDLY HELD ABOVE \$65,000 OVERNIGHT PER YAHOO FINANCE COVERAGE OF THE JULY 15 RALLY

For FCI's framework, Wednesday's reported gold flatness alongside the reported Mideast escalation reportedly is the tell that reported bullion reportedly continues to sit between the reported safe-haven bid and the reported dollar-strength drag — per Reuters coverage in the data drop headlines, gold reportedly fell as reported Mideast conflict reportedly dimmed easing inflation hopes, and per FXStreet coverage

cited in prior briefs, the reported closure of the Strait of Hormuz reportedly raises reported inflation and Fed rate-hike expectations that reportedly are bearish for bullion. For the reported FCI Digital Assets sleeve, IBIT's reported $\uparrow 0.63\%$ and ETHA's reported $\uparrow 2.40\%$ Wednesday reportedly extend the reported ETF-cohort bid; reported miner exposure reportedly caught a stronger bid with HUT reportedly $\uparrow 4.78\%$ to \$103.03 and MARA reportedly $\uparrow 1.07\%$ to \$12.29 per data drop — a reported composition that reportedly signals the reported miner cohort reportedly reversed the reported prior-session give-back. Per Reuters coverage in the data drop headlines, reported Iran war reportedly leaves reported crisis-weary European airlines reportedly ready for a shakeout — a reported second-order signal that reported jet fuel and reported route repositioning reportedly are running alongside the reported physical-supply reprice. Per prior brief coverage, the CNN stock-market Fear & Greed reading was

reportedly 43 (Fear) on Tuesday and per web coverage reportedly moved to ~46 (Neutral) by Wednesday — the reported data drop again returned the reported crypto fallback (25 Extreme Fear), which per CLAUDE.md reportedly signals the CNN endpoint failed. **Think Like an Owner.**

U.S. KHARG ISLAND INTERDICTION	Empty tanker sailing toward Kharg reportedly disabled per NPR/CBS
KHARG EXPORT SHARE	Reportedly ~90% of Iran's crude oil exports per NPR
U.S. IRAN STRIKES	Reportedly completed latest strikes on Iran · targets included Bandar Abbas per Reuters
HORMUZ TRAFFIC	Reportedly fewer vessels transiting per Reuters
USO (WED)	\$121.38 · ↑1.01% per data drop
BNO (WED)	\$47.59 · ↑0.63% per data drop
GOLD (WED)	GLD \$372.35 · ↑0.05% per data drop
FCI DIGITAL (WED)	IBIT ↑0.63% · ETHA ↑2.40% · HUT ↑4.78% per data drop

SECTION 03

On Our Radar

1. TSMC Q2 Print Reportedly Delivers — Reported Revenue \$40.2B (Reportedly ↑33.7% Y/Y) at the Upper End of Prior Guidance per TradingKey/GuruFocus Coverage; Reported GAAP EPS \$4.31 (Reportedly Beating by \$0.37); Reported Gross Margin 67.7% and Operating Margin 60.3% per GuruFocus; Reported HPC (AI Chip) Contribution Reportedly Reached ~60–66% of Total Revenue per TradingKey; TSMC Reportedly Guided Full-Year 2026 USD Revenue Growth Above 30% per TradingKey. For FCI's Growth-Hybrid sleeve, the reported TSM print reportedly is the reported wafer-fab confirmation of the reported physical-AI-infrastructure thesis — per TradingKey coverage, reported AI demand reportedly is transitioning from generative to reported agentic AI, driving reported hyperscale compute requirements. Per data drop, reported TSM reportedly closed Wednesday at \$419.48 (↓0.22%) — a reported composition that suggests reported Street positioning was already in the print. The reported read-across to LRCX (\$335.43 ↓3.08% Wed per data drop), CRDO (\$226.74 ↓4.00%), and MRVL (\$206.26 ↓7.27%) reportedly is the reported bifurcation test — whether the reported wafer-fab leader's guide reportedly can lift the reported optical and DSP cohorts that reportedly gave back a second session. Per prior brief coverage, ASML's Wednesday print reportedly raised 2026 revenue guidance to €43–45B — the reported EUV lithography read reportedly frames TSM's reported capacity commentary. *Research Reveals Opportunities.*

2. June Retail Sales at 8:30 AM ET per Census Bureau Schedule — The Reported First Consumer-Spend Read Post-CPI Reset; Per Census Bureau Coverage, the Reported May Advance Estimate Reportedly Came in at \$763.7B (Reportedly ↑0.9% M/M and ↑6.9% Y/Y). For FCI's Dividend and Growth-Hybrid sleeves, the reported June print reportedly reads across to reported Discretionary (XLY) exposure through TOL (\$153.19 ↑0.43% Wed per data drop) and reported retail-broker exposure through HOOD (\$115.54 ↑1.84%) and SOFI (\$17.87 ↓3.67%). Per prior brief coverage, the reported CPI reset framed reported soft-consumer signals, and reported June retail sales reportedly is the reported cross-check on whether the reported consumer reportedly extended the reported softening pattern or reportedly reversed on the reported energy-cost decline that reported drove the reported headline CPI ↓0.4% M/M print. Per Census Bureau coverage, the reported June release reportedly includes minor updates to the reported presentation format — a reported administrative note that reportedly does not affect the reported underlying data comparability. *Avoid Erosion.*

3. ABT Q2 Pre-Market With Reported Consensus \$1.29 EPS per Data Drop — FCI's First Dividend-Sleeve Q2 Read of the Cycle; ABT Reportedly Closed Wednesday at \$89.27 (↑0.35%) per Data Drop After Reportedly Falling ↓3.42% Monday and Reportedly Holding Flat Tuesday. For FCI's Dividend sleeve, the reported ABT print reportedly frames the reported medical-device rotation flagged in Tuesday's brief — reported SYK reportedly gave back ↓6.15% Monday before recovering ↑1.73% Wednesday to \$316.44 per data drop, and reported DGX reportedly closed Wednesday at \$201.77 (↓2.05%). Per Yahoo coverage in the data drop headlines, ABT's Q2 print reportedly is expected to include commentary on the reported medical-device demand and reported JNJ read-across cited in the data drop headlines. Per Yahoo coverage cited in the data drop headlines, reported J&J reportedly slipped on its report — a reported read-across signal to track for reported ABT, reported SYK, and reported DGX. *Simplicity Over Complexity.*

4. Chip-Complex Bifurcation Round Two — Wednesday Reportedly Delivered Another AI-Optical and Wafer-Equipment Give-Back With MRVL ↓7.27% (\$206.26), CRDO ↓4.00% (\$226.74), AMD ↓3.46% (\$529.14), LRCX ↓3.08% (\$335.43), and NXPI ↓1.71% (\$279.01) per Data Drop; NVDA Reportedly Held at \$212.50 (↑0.33%) and TSM at \$419.48 (↓0.22%); Per CNBC Premarket Coverage, Reported Pre-Market Thursday Reportedly Saw Broad Semiconductor Weakness Across NVDA, AMD, Micron, and Broadcom. For FCI's Growth-Hybrid sleeve, the reported second-session AI-capex de-rating reportedly clarifies that Tuesday's reported CPI-reset bid reportedly did not fully absorb the reported forward-earnings risk in the reported optical and reported wafer-equipment cohorts. Per Yahoo coverage in the data drop headlines, reported Marvell reportedly faces the reported optical-supplier valuation risk cited in prior briefs; per Reuters/Yahoo coverage cited in prior briefs, reported Cathie Wood's reported portfolio reportedly holds a reported 30% AI-stock concentration — a reported cross-current for the reported cohort. Per SeekingAlpha coverage in the data drop headlines, reported ADI reportedly is drawing analyst attention alongside NVDA and Oracle — a reported signal that the reported analog-chip sub-sleeve reportedly may bifurcate from the reported optical cohort. *The physical world matters.*

5. Digital Assets Miner Rebound & Movers — HUT Reportedly Led the Growth Sleeve at ↑4.78% (\$103.03), ATAT ↑4.61% (\$32.46), YMM ↑6.48% (\$9.20), and MARA ↑1.07% (\$12.29) per Data Drop; ETHA Reportedly Extended Its Bid at ↑2.40% (\$14.52) With IBIT ↑0.63% (\$36.81); HOOD Reportedly Closed ↑1.84% at \$115.54 per Data Drop; Per Benzinga Coverage in the Data Drop Headlines, Benchmark Reportedly Maintained a Buy on Hut 8 With a Raised PT of \$165. For FCI's Digital Assets and Growth-Hybrid sleeves, the reported miner rebound alongside the reported ETHA outperformance reportedly signals a reported cohort risk-on tilt into the reported CPI-reset-and-TSM-print window — a reported composition that reportedly differs from Tuesday's reported ETF-only bid. Per Benzinga coverage in the data drop headlines, reported MARA's reported AI pivot reportedly is receiving analyst attention as a reported 4.8GW neocloud bet, and reported HUT's reported Benchmark raise reportedly reflects the reported AI-infrastructure crossover narrative. Per Yahoo coverage in the data drop headlines, reported Bitcoin reportedly topped \$65,000 with reported CPI-driven soft-print positioning cited as the driver. Carson's SPY \$645.80 support remains active per levels.json, well-removed from Wednesday's intraday range \$750.20–\$755.58 per data drop — no level was reportedly hit. *Think Like an Owner.*

6. Iran Escalation Watch & Financials Sleeve Follow-Through — Per NPR and CBS Coverage, U.S. Forces Reportedly Disabled an Empty Tanker Sailing Toward Kharg Island, and per Reuters Coverage in the Data Drop Headlines, Reported Hormuz Traffic Reportedly Slowed as U.S. and Iran Reportedly Continued Strikes; Per Kalshi Coverage Cited in the Data Drop Headlines, Reported Prediction-Market Traders Reportedly See Gas Prices Crossing \$4 by End of July. For FCI's Upstream and Refiner sleeves, the reported Kharg Island targeting reportedly reprices the reported physical-supply framing — per NPR coverage, Kharg reportedly handles ~90% of Iran's crude oil exports. For the reported FCI Dividend sleeve financials exposure, reported Morgan Stanley's reported Q2 beat (EPS \$3.46 vs. \$2.94 per CNBC) with reported record equity-markets revenue \$6.3B reportedly extends the reported bank-earnings tailwind flagged in Tuesday's brief; reported SYF reportedly closed ↑0.49% at \$74.04 Wednesday per data drop ahead of its own Q2 print next week. Per data drop, reported NWG (National Westminster) reportedly closed ↑4.00% at \$17.92 — a reported UK-bank single-name signal to track alongside the reported U.S. bank cycle. *Avoid Erosion.*